
This act summary is provided for the convenience of the public and members of the General Assembly. It is intended to provide a general summary of the act and may not be exhaustive. It has been prepared by the staff of the Office of Legislative Counsel without input from members of the General Assembly. It is not intended to aid in the interpretation of legislation or to serve as a source of legislative intent.

Act No. 133 (H.583). An act relating to clinical decision making

Subjects: Health; health care facilities; clinical decision making; corporate practice of medicine

This act establishes limitations on private equity groups' and hedge funds' control over clinical decision making. It prohibits a private equity group or hedge fund that is involved with a health care facility in Vermont from interfering with health care providers' judgment in making health care decisions and from exercising control over many aspects of patient care, including setting prices for a health care provider's services, making decisions about the coding and billing of diagnoses and procedures, and selecting the medical equipment and supplies. The act allows a health care provider who is aggrieved by the actions of a private equity group or hedge fund in violation of the act to bring an action in Superior Court.

The act requires all health care facilities and management services organizations to report to the Green Mountain Care Board by March 1, 2027, regarding whether any private equity group or hedge fund held an ownership or investment interest in them as of June 1, 2026. The act requires those that did have private equity group or hedge fund ownership or investment as of June 1, 2026, to provide to the Board information about their financial interests, an organizational chart, and the most recent year's profit and loss statement and balance sheet. After March 1, 2027, the act requires a health care facility or management services organization to provide information to the Board any time it engages in new or modified involvement with a private equity group or hedge fund. There are exemptions from reporting for nursing homes, health care staffing companies, federally qualified health centers, and entities that offer only telehealth services in Vermont. Most of the information will be public except that an individual health care provider's Social Security number and personal contact information and the profit and loss statements and balance sheets are exempt from the Public Records Act and must be kept confidential. The act provides civil penalties for knowingly failing to report and for making material misrepresentations in a report. The act requires the Green Mountain Care Board to post a report on its website by July 1, 2027, and every two years thereafter about the information reported by health care facilities and management services organizations that have ownership or investment involvement from private equity groups and hedge funds. The act also allows the Board to share information reported to it with the Attorney General, the Secretary of State, and other State agencies and officials to avoid duplicative reporting requirements and to facilitate appropriate oversight and enforcement.

Effective Date: July 1, 2026